**TABLE 11.1 What Fraction of Elderly Income Contains Longevity Insurance That Can't Be Outlived? (Average for U.S. Population)**

| Age Group | Income in 2004 |
|---|---|
| 65–69 | 49.9% |
| 70–74 | 62.4% |
| 75–79 | 70.4% |
| 80–84 | 75.1% |
| 85+ | 80.1% |

Social Security, Pensions, and Annuities

Source: Employee Benefit Research Institute, 2006.

## *Step 1: Get a Retirement Needs Analysis*

Obviously, boiling down the entire topic of retirement income planning into a 30-second sound bite is impossible. This is likely one of most complicated calculations that an individual must make over the course of his life, and even the great Allan Greenspan has been quoted as saying this! That said, I can provide some general rules on how to think about this problem.

So, when *you* are ready to seriously think about the financing of your retirement, the first step is to sit down (perhaps with a financial advisor) and carefully estimate what you will need in retirement. I mentioned this process in Chapter 8, "Spending Your Retirement in Monte Carlo," and will briefly review the main ideas here again. Some people dismiss the importance of a formal written *retirement needs analysis* altogether. Or some confuse it with its close cousin—the *retirement wants analysis*, which is much more than your needs. Either way the exercise is informative. Add up the estimated annual cost of all the things you simply can't live without. These can be items as basic as rent, electricity, and heating, all the way up to the annual cost of a golf club membership, or lease payment on the Mercedes Benz. Do your best to come up with a rough annual retirement needs estimate. Remember, though, it is a number that will not stand still. It is a moving target over time. This is because you will likely experience a higher and unique inflation during retirement. Either way, don't move to the next step until you have this needs estimate. Also, remember these are your needs, not your wants.